

NVIDIA Corporation

NVDA NASDAQ

Hold	\$230.11 ▼ 3.10%	12M Price Target \$265.00	52-Week Range \$164.27 – \$243.37	Market Cap \$5.56T
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NVDA: Profit-Taking Hits After Record Run, Policy Still Friendly

WHAT HAPPENED

- NVDA dropped 3.1% today on heavy put buying — someone big bought 122K puts at the \$235 strike (that's betting the stock falls below \$235 by end of October). This looks less like panic and more like profit-taking plus hedging after a monster run — the stock is still near all-time highs and up massively off the 52-week low of \$164.
- Zero news, zero filings — meaning this is pure positioning. When nothing fundamental changes but the stock drops with aggressive put flow, it usually means institutions are locking in gains before Q3 earnings and bracing for headline risk.

WHY IT MATTERS

Here's what's really going on: a director (Mark Stevens) dumped \$298M in shares three weeks ago, the General Counsel sold \$6.8M, and now unusual put buying is piling up — that's a classic "smart money is de-risking" setup heading into earnings season. It doesn't mean the thesis is broken; it means people who've made 10x are taking chips off the table at a \$5.5 trillion valuation. The energy sector ripping +3% today while NVDA fell tells me money is rotating out of crowded AI trades into cheaper cyclicals — a healthy rotation, not a crash. Watch for a test of \$220 — if it holds, this is just noise; if it breaks, the next support is \$200 and that's where you'd want to add aggressively.

POLICY & POLITICAL WATCH

The biggest overhang right now is the ongoing U.S.-China chip export regime — the Commerce Department has been tightening rules on what NVDA can sell to Chinese customers, and any further restriction directly hits ~15-20% of data center revenue. On the positive side, the CHIPS Act implementation and federal AI infrastructure spending (both parties agree on this one) continue to funnel money toward domestic AI buildout, which flows straight to NVDA. Watch for any executive action on AI export controls this month — Treasury and Commerce have been signaling a review, and that's the single biggest policy variable for this stock.

IS IT EXPENSIVE?

At ~39x forward earnings, you're paying \$39 for every \$1 of profit NVDA is expected to make next year — expensive versus the S&P at ~22x, but reasonable if you believe AI capex keeps growing 40%+ annually. The problem: at a \$5.56 trillion market cap, NVDA is now bigger than the entire German stock market, so the law of large numbers starts to matter — doubling from here means becoming more valuable than the entire US financial sector. Fairly valued for the growth, but no margin of safety if anything goes wrong.

WHAT COULD GO WRONG

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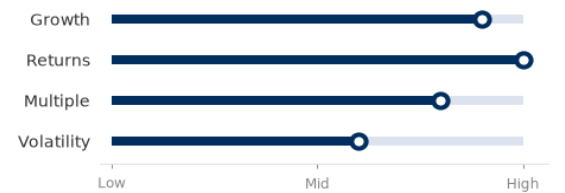
AI-Generated Pre-Market Brief | 2026-10-08 19:05 UTC

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Key Data

Price (USD)	\$230.11
12M Price Target	\$265.00
Upside / (Downside)	+15.2%
Market Cap	\$5.56T
FY2027E Revenue	\$215M
FY2028E Revenue	\$275M
FY2027E EPS	\$5.85
FY2028E EPS	\$7.60
Fwd P/E	39.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$250.00	\$235.00	\$215.00
6 Months	\$285.00	\$255.00	\$195.00
1 Year	\$320.00	\$265.00	\$180.00
2 Years	\$400.00	\$310.00	\$170.00
5 Years	\$600.00	\$420.00	\$200.00
10 Years	\$900.00	\$550.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3%) and Consumer Staples (+2%) — classic defensive/cyclical rotation, suggesting institutions are getting cautious on growth and rotating to value and inflation hedges. Financials strong on steepening yield curve expectations.

COOLING OFF: Tech/semis today — not broken, just digesting after a parabolic run. The absence of Tech in the top movers list is telling.

ROTATION WATCH: Money is leaving crowded mega-cap tech and flowing into energy and staples — this is "risk-off rotation lite," often happens before earnings season as managers lock in gains. Not a reason to panic, but a reason to not be greedy.

RELATED PLAY: If AI capex keeps growing, the power infrastructure story (data center electricity demand) is the second derivative — utilities with data center exposure and nuclear names are winning quietly while NVDA takes a breather.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon Mobil): Energy ripping on supply concerns and the sector rotation out of tech
- JPM (JPMorgan): Benefiting from steeper yield curve and financials rotation

NVDA CONTEXT: NVDA is lagging today but still massively outperforming on any multi-month view — it's at 83% of its 52-week range, meaning it's been in a strong uptrend. Today's weakness is relative; the stock isn't broken, it's just taking a breather while laggard sectors catch a bid.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the business, I'm cautious on the entry price here. If you own it, hold it. If you don't, wait for a pullback.

POSITION SIZE: 4-6% — big enough to matter, small enough that a 20% drawdown won't wreck you. At this market cap, this is more "core holding" than "high-conviction swing."

ENTRY POINTS: \$210-220 is the sweet spot — that's where the 50-day moving average sits and where buyers have stepped in recently. Don't chase above \$240.

TIME HORIZON: 12-24 months. The near-term catalyst is Q3 earnings (mid-November) and management's commentary on 2027 data center demand.

WHEN TO BAIL: If data center revenue growth drops below 25% YoY, if China export restrictions expand materially, or if a major hyperscaler cuts capex guidance — any one of these breaks the thesis.

HEDGING: Simplest hedge: buy put options at the \$210 strike expiring 3-6 months out — think of it as insurance that pays off if the stock crashes. Costs you ~2-3% of your position value but lets you sleep at night at these highs.